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....NEW BOOKS IN REVIEW

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MANAGING BRAND EQUITY, David A. Aaker. New York: The Free Press, 1991, 300 pages, $24.95.

Managing Brand Equity is a highly readable, entertaining, and informative book that serves to introduce readers to one of the more ballyhooed themes in marketing today. Branding and brand management themes have been popular before in the marketing management literature, but have been in an academic backwater for maybe 20 years. The renewed academic interest in the area has come about largely as the consequence of substantial practitioner interest (and possibly also concurrent charges in the popular press that business schools are becoming increasingly irrelevant by ignoring issues important to managers). In recognition of this interest, the prestigious Marketing Science Institute for several years made brand equity its highest priority research topic and provided numerous research competitions and conference venues that promised support and visibility for academic efforts in this area. At least two academic journals (including the *JMR*) have sponsored special issues emphasizing this area, providing further legitimacy and impetus.

Professor Aaker (University of California at Berkeley) is well qualified to speak on this topic. His previous writings on advertising, marketing strategy, marketing research, product positioning, and product quality all fit well under the umbrella afforded by the topic of brand equity (BE). Along with Kevin Lane Keller (Stanford University), he was among the first academicians to publish research specifically referenced to this area. His initial work to understand the factors that influence successful brand extensions has led to a research program pursuing various strategic issues of timing and sequencing. Aaker shows considerable sensitivity and insight to the complexities of managing brand equity and this book is a valued contribution to the growing literature.

Aaker argues that managerial concern with brand equity has arisen out of a confluence of several recent trends and events. The substantial premium over book value paid for many packaged goods firms during the merger-happy 1980s brought credibility to arguments that much of the price was compensation for the trademarks owned by the acquired firm. One major theme is that brands provide benefits to customers and the firm and thus are best viewed as assets, assets not well accounted for by traditional accounting valuation. Moreover, existing trademarks increase in value as the costs of establishing a new brand name increase. The substantial growth of cable TV and the popularity of other leisure activities have reduced the role of network television and made the establishment of new brands more costly. Proliferation of new products has produced a clutter of information, potentially simplified by the ability of consumers to rely on familiar brand names.

Another trend noted by Aaker is the growing availability of scanner data, which has enabled brand managers to obtain rapid feedback from promotional activity and perhaps caused them to favor actions that produce short-term results. Scanner data have also provided new information to the trade and conceivably encouraged firms' reluctance to share in the risks of new product introduction, again giving increased value to the use of familiar brand names to support new ventures. Aaker thus is able to argue that longer term investment in building BE is discouraged by the superior ability to measure short-term results and by the tight economic times, which have restricted marketing budgets and put pressure on managers to produce more with less.

As the book's title implies, Aaker's primary concern is in helping managers understand the importance of and bases for brand equity and in providing numerous suggestions as to how it might be productively managed. The book is written in a distinctly managerial style. Virtually all chapters begin with an extensive case history and each chapter is sprinkled with many real-world examples to support Aaker's basic points. The examples are invariably supportive, and often represent the author's rationalization for why things happened as they did.

Though the text cites considerable academic research, one must keep in mind that very little of the recent surge in academic BE research had been published by the time the book was written. To the extent that current aca-

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demic interest in the BE topic is rooted in a desire to be relevant, this managerial emphasis may not be amiss because the same insights can also serve to educate academicians to the BE concerns of marketing managers. However, the academician seeking value from this book should be prepared to spend time making translation to his or her domain, for Aaker does little to raise needed research questions.

The book consists of 11 chapters. It begins with a chapter that defines and argues the managerial importance of BE. A major contribution of the book is Aaker's model specifying the sources of BE. Equity is defined as "a set of brand assets and liabilities linked to a brand, its name and symbol, that add to or subtract from the value provided by a product or service to a firm and/or to that firm's customers" (p. 15). In Aaker's conceptual framework, brand loyalty, brand awareness, perceived quality, brand associations, and "other proprietary brand assets" (such as patents and trademarks, distributor relationships, etc.) are identified as the sources of value to the firm and its customers. They are accepted largely on the basis of face validity and no attempt is made to argue their relative importance or possible interrelation. Each source (except "other proprietary brand assets") is discussed within its own chapter. Particular attention is paid to the measurement and management of associations (seemingly, five chapters are devoted to aspects of this topic). Among these chapters is one on measurement and one on creating names, symbols, and slogans (which is the most comprehensive I have seen). Another is a discussion of brand extensions based on the Aaker and Keller studies and Aaker's *Sloan Management Review* article, "Brand Extensions: The Good, the Bad, and the Ugly." The book concludes with two additional chapters, one about revitalizing a brand and the other about global branding.

Having discussed in the first chapter why BE is important and laid out a conceptualization of BE and its roots, Aaker uses several of the middle chapters (e.g., on brand loyalty, brand awareness, perceived quality, and even the basic chapter on brand associations) simply to pursue a discussion of those topics that is largely divorced from explicit reference to the managerial concerns raised in the opening chapter. The impression left is that higher brand loyalty, increased awareness, higher perceived quality, and so on are *per se* necessary for creating and maintaining BE. Tradeoffs among these factors are not discussed. In Chapter 9 on brand extensions, Aaker adopts a different style and links the discussion more directly to some of the BE concerns raised in the introductory chapter. This style may only be due to the chapter's tie to the *Sloan Management Review* article, but it affords a more managerially beneficial presentation.

Aaker's previous writings on advertising, marketing strategy, marketing research, product positioning, and product quality and his research on BE substantially influence the book, even though they are not always cited. The chapter on brand associations reflects some of the earlier thinking in his oft-cited *Business Horizons* article on product positioning. The discussion and many of its specific recommendations benefit from his sensitivity to and knowledge of strategic marketing issues. His research with Robert Jacobson on the strategic role of product quality finds useful expression in the discussion of perceived quality. But there are several instances in which such relationships seem less desirable. A whole chapter (Ch. 6) on methods of measurement for brand associations could have fit well into his marketing research text and seems somewhat out of place. (Such an extensive discussion of measurement does *not* accompany the chapters on brand loyalty, brand awareness, and perceived quality.)

Given that measurement concerns are raised, what is particularly disappointing is that the book does not contain much critical discussion of the measurement of the construct of brand equity itself. The first chapter merely contains a description of several proposals that have been put forth for valuing brands. (And the discussion of tradeoff [conjoint] analysis and dollarmetric methodologies is either misleading or inaccurate.) Also lacking is substantial reference to the financial or accounting aspects of brand equity or even to the controversy that has characterized attempts to value brands as assets on balance sheets. One of the potentially important managerial aspects of brand equity is the opportunity it provides for accounting and marketing executives to work together more closely to seek better means for valuing brands for purposes of improved managerial control and quantification of the worth from possible strategic alliances.

Most of the examples used throughout the text are illustrated by or otherwise relate to advertising, one of Aaker's areas of expertise. The text is decidedly pro advertising and Aaker's "causes of BE" should provide much ammunition for that beleaguered industry in its attempt to rationalize itself. One is almost led in the text to believe that brand equity is largely created and maintained by advertising alone. The argument that advertising simply supplies information about characteristics of the offering that are rooted in the extended product or its pricing, distribution, or service support seems downplayed (though Aaker never suggests that the effect of other marketing mix elements on BE is absent or irrelevant). Why does brand loyalty exist? Maybe higher perceived quality exists because the manufacturer has selected and trained its engineering and manufacturing personnel to design and build more satisfying products or its channel members to provide superior support services. What gives rise to increased awareness? Is it just advertising weight or is it a special feature that no one else has or a special value that is now being offered? Given my own biases, I found myself frequently able to think of product-, pricing-, or distribution-based explanations for a great many of the examples attributed to advertising and suspect a reader so inclined could do likewise.

In sum, Aaker has produced a well-written, interesting, and valuable work that lends structure to a manager's thinking about brand equity and is filled with a great many ideas and examples for action consideration. It also provides a useful base for aiding academic researchers' interests by sensitizing them to some of the many dimensions of brand equity and to the managerial concerns that are affected. Many of the conjectures that characterize the recommendations made could be subjected to rigorous investigation. BE as a field of intellectual inquiry contains remnants of both the old and new. The old affords the opportunity for researchers to reexamine prior notions about such concepts as brand loyalty and imagery and associations. The Aaker book summarizes what is known about these traditional areas and offers the brand equity context as a reason for rethinking them. But it also hints at some of the new paradigms that are beginning to emerge in the current research literature. Aaker's discussions provide insights supportive of these newer research thrusts—such as the recognition of brands as market signals, of products as members of "goal-directed" categories and the role brands play in affecting categorization of new products, and of brand strength as affecting the timing of brand extensibility. These themes are a part of contemporary research and their usefulness for brand equity questions suggests BE will remain a major context for academic inquiry. The Aaker text has done a fine job of communicating the substance of BE determination. It should continue to aid formation of research agendas and suggest plausible lines of attack in pursuit of the proper management of brands.

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VARIANCE COMPONENTS, S. R. Searle, G. Casella, and C. E. McCulloch. New York: John Wiley & Sons, Inc., 1992, 501 pages, $69.95.

Variance Components by Searle, Casella, and McCulloch (hereafter SCM) is a 1992 publication of the Wiley Series in Probability and Mathematical Statistics. The authors thoroughly develop statistical analyses for mixed analysis of variance (ANOVA) models, notably, as the title suggests, the estimation of variance components.

When should a researcher be concerned about the topics in this book? The answer is, any time ANOVA-type data (data in which a response variable is related to one or more qualitative factors) are to be sampled or analyzed. When it is relevant to consider that the levels of a factor in question come from a probability distribution, one should treat the factor as random, in which case we have a *mixed ANOVA model*. One example is when the levels of the factor are sampled from a population; another example is the Bayesian model, where one places a prior distribution on the effects. (The flexibility of the mixed model and the connection with Bayesian methods are emphasized throughout the book. For persons interested in applied Bayesian analysis, this book is excellent for study.)

There are two essential issues in mixed model analysis. The first is to estimate the variance components (the variances of the various factors). Second, one might (1) estimate the effects of the *fixed* (nonrandom) factors (called *fixed effects*) and/or (2) estimate the effects of the *random* factors. These goals are addressed very well by SCM. Estimation of variance components is given highest priority, as it should be—the efficiency with which the fixed and random effects are estimated depends on how well the variance components are estimated. Thus it is crucial that the variance components be estimated accurately.

The estimation of random effects via best linear unbiased prediction (BLUP) is often completely ignored in courses on ANOVA. This is unfortunate. Estimation of random effects is quite similar to estimation of factor (or other latent variable) scores, an application useful for psychometricians. Additionally, as SCM point out, estimation of random effects has been applied very successfully in animal genetics.

As a prerequisite, SCM recommend a course in linear models. Having examined the book, I would recommend at least a solid understanding of applied regression and ANOVA for understanding most of the material. The more advanced material will require a more mathematical course in linear models along the lines of Graybill (1976). Some familiarity with distribution theory and maximum likelihood will also be helpful.

Why did SCM write this book? I believe they wanted to provide a complete reference of the theory behind *practical* mixed model methodology. Admittedly, the book *seems* heavy on theory—there are few examples with actual data and the matrix algebra can be slow reading. However, SCM have chosen theoretical topics to support a practitioner's needs for understanding the data analysis. They have also supplied many useful caveats for applied research workers. The more esoteric criterion-based methods of Rao and Kleffe's (1988) book have received much attention in the recent advanced statistics journals, but are given little attention by SCM because they lack utility for practitioners.

This book will be easy to use for self-study. Chapters 1 and 2 start somewhat easily. Historical aspects of mixed models and variance components are discussed, and the research developments from 1861 to the present are summarized. Important caveats about the appropriateness of using random versus fixed effects are given. The myriads of variance component estimators are described briefly here, with more detailed discussions in subsequent chapters. These methods include the ANOVA estimates (Henderson's methods I, II, and III), maximum likelihood (ML) and restricted maximum likelihood (REML) estimates, Bayesian estimates, and criteria-based estimates such as C. R. Rao's minimum norm quadratic unbiased estimates (MINQUE). The authors lean toward the use of likelihood-based estimates for routine analyses, but provide ample coverage of the simpler ANOVA-type estimates.

The first two chapters ease gradually into the requisite